

ADVANCED MICRO DEVICES, INC.
CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS

(Millions except per share amounts and percentages) (Unaudited)

	Three Months Ended			Six Months Ended	
	June 27, 2026	March 28, 2026	June 28, 2025	June 27, 2026	June 28, 2025
Net revenue	\$ 11,536	\$ 10,253	\$ 7,685	\$ 21,789	\$ 15,123
Cost of sales	5,073	4,576	4,366	9,649	7,817
Amortization of acquisition-related intangibles	260	261	260	521	511
Total cost of sales	5,333	4,837	4,626	10,170	8,328
Gross profit	6,203	5,416	3,059	11,619	6,795
Gross margin	54%	53%	40%	53%	45%
Research and development	2,528	2,397	1,894	4,925	3,622
Marketing, general and administrative	1,401	1,253	991	2,654	1,877
Amortization of acquisition-related intangibles	284	290	308	574	624
Total operating expenses	4,213	3,940	3,193	8,153	6,123
Operating income (loss)	1,990	1,476	(134)	3,466	672
Interest expense	(37)	(37)	(38)	(74)	(58)
Other income (expense), net	598	165	98	763	137
Income (loss) from continuing operations before income taxes and equity income	2,551	1,604	(74)	4,155	751
Income tax provision (benefit)	252	238	(834)	490	(711)
Equity income in investee	6	6	8	12	15
Income from continuing operations, net of tax	2,305	1,372	768	3,677	1,477
(Loss) income from discontinued operations, net of tax	(8)	11	104	3	104
Net income	\$ 2,297	\$ 1,383	\$ 872	\$ 3,680	\$ 1,581
Earnings per share:					
Basic earnings from continuing operations	\$ 1.41	\$ 0.84	\$ 0.47	\$ 2.25	\$ 0.91
Basic earnings from discontinued operations	\$ (0.01)	\$ 0.01	\$ 0.07	\$ 0.01	\$ 0.07
Basic earnings per share	\$ 1.40	\$ 0.85	\$ 0.54	\$ 2.26	\$ 0.98
Diluted earnings from continuing operations	\$ 1.39	\$ 0.83	\$ 0.47	\$ 2.22	\$ 0.91
Diluted earnings from discontinued operations	\$ (0.01)	\$ 0.01	\$ 0.07	\$ -	\$ 0.06
Diluted earnings per share	\$ 1.38	\$ 0.84	\$ 0.54	\$ 2.22	\$ 0.97
Shares used in per share calculation					
Basic	1,632	1,631	1,623	1,631	1,621
Diluted	1,659	1,650	1,630	1,655	1,628

ADVANCED MICRO DEVICES, INC.
CONDENSED CONSOLIDATED BALANCE SHEETS
(Millions)

	<u>June 27, 2026</u>	<u>December 27, 2025</u>
	(Unaudited)	
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 5,086	\$ 5,539
Short-term investments	8,025	5,013
Accounts receivable, net	7,281	6,315
Inventories	8,468	7,920
Prepaid expenses and other current assets	2,662	2,160
Total current assets	<u>31,522</u>	<u>26,947</u>
Property and equipment, net	3,439	2,312
Goodwill	25,470	25,126
Acquisition-related intangibles, net	15,635	16,705
Deferred tax assets	494	384
Other non-current assets	7,904	5,452
Total Assets	<u><u>\$ 84,464</u></u>	<u><u>\$ 76,926</u></u>
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	\$ 5,359	\$ 2,929
Accrued liabilities	5,546	5,250
Current portion of long-term debt, net	875	874
Other current liabilities	301	402
Total current liabilities	<u>12,081</u>	<u>9,455</u>
Long-term debt	2,351	2,348
Long-term operating lease liabilities	1,050	625
Deferred tax liabilities	300	313
Other long-term liabilities	1,458	1,186
Stockholders' equity:		
Capital stock:		
Common stock, par value \$0.01	16	17
Additional paid-in capital	61,373	63,365
Treasury stock, at cost	-	(7,079)
Retained earnings	5,909	6,699
Accumulated other comprehensive loss	(74)	(3)
Total stockholders' equity	<u>67,224</u>	<u>62,999</u>
Total Liabilities and Stockholders' Equity	<u><u>\$ 84,464</u></u>	<u><u>\$ 76,926</u></u>

ADVANCED MICRO DEVICES, INC.
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(Millions) (Unaudited)

	Three Months Ended		Six Months Ended	
	June 27, 2026	June 28, 2025	June 27, 2026	June 28, 2025
Cash flows from operating activities:				
Net income	\$ 2,297	\$ 872	\$ 3,680	\$ 1,581
(Income) loss from discontinued operations, net of tax	8	(104)	(3)	(104)
Adjustments to reconcile net income to net cash provided by operating activities:				
Depreciation and amortization	221	189	427	364
Amortization of acquisition-related intangibles	544	568	1,095	1,135
Stock-based compensation	503	369	990	733
Gains from long-term investments, net	(483)	(38)	(549)	(36)
Deferred income taxes	(27)	(886)	(106)	(1,053)
Other	33	28	61	65
Changes in operating assets and liabilities:				
Accounts receivable, net	(1,246)	330	(966)	1,078
Inventories	(423)	(261)	(548)	(943)
Prepaid expenses and other assets	(683)	(140)	(991)	(377)
Accounts payable	2,274	836	2,170	547
Accrued and other liabilities	(652)	(301)	61	(589)
Net cash provided by operating activities of continuing operations	2,366	1,462	5,321	2,401
Net cash provided by operating activities of discontinued operations	-	549	-	549
Net cash provided by operating activities	2,366	2,011	5,321	2,950
Cash flows from investing activities:				
Purchases of property and equipment	(808)	(282)	(1,197)	(494)
Purchases of short-term investments	(2,010)	(492)	(4,555)	(796)
Proceeds from maturity of short-term investments	615	318	1,267	683
Proceeds from sale of short-term investments	160	15	286	48
Purchases of long-term investments	(435)	(119)	(844)	(358)
Acquisitions, net of cash acquired	(129)	(1,716)	(129)	(1,716)
Net cash used in investing activities of continuing operations	(2,607)	(2,276)	(5,172)	(2,633)
Purchases of property and equipment	-	(22)	-	(22)
Payment for working capital adjustment on divestiture	(243)	-	(243)	-
Net cash used in investing activities of discontinued operations	(243)	(22)	(243)	(22)
Net cash used in investing activities	(2,850)	(2,298)	(5,415)	(2,655)
Cash flows from financing activities:				
Proceeds from debt and commercial paper issuance, net of issuance costs	-	-	-	2,441
Repayment of debt and commercial paper	-	(950)	-	(950)
Proceeds from sales of common stock through employee equity plans	200	155	205	159
Repurchases of common stock	-	(478)	(221)	(1,227)
Stock repurchases for tax withholding on employee equity plans	(207)	(46)	(341)	(76)
Other	(8)	-	(8)	-
Net cash provided by (used in) financing activities	(15)	(1,319)	(365)	347
Net increase (decrease) in cash, cash equivalents and restricted cash	(499)	(1,606)	(459)	642
Cash, cash equivalents and restricted cash at beginning of period	5,596	6,059	5,556	3,811
Cash, cash equivalents and restricted cash at end of period	\$ 5,097	\$ 4,453	\$ 5,097	\$ 4,453
Reconciliation of cash, cash equivalents and restricted cash				
Cash and cash equivalents	\$ 5,086	\$ 4,442	\$ 5,086	\$ 4,442
Restricted cash included in Prepaid expenses and other current assets	11	11	11	11
Cash, cash equivalents and restricted cash at end of period	\$ 5,097	\$ 4,453	\$ 5,097	\$ 4,453

ADVANCED MICRO DEVICES, INC.
SELECTED CORPORATE DATA
(Millions) (Unaudited)

	Three Months Ended			Six Months Ended	
	June 27, 2026	March 28, 2026	June 28, 2025	June 27, 2026	June 28, 2025
Segment and Disaggregated Revenue Information ⁽¹⁾					
Net Revenue:					
Data Center Segment	\$ 6,718	\$ 5,775	\$ 3,240	\$ 12,493	\$ 6,914
Client and Gaming Segment					
Client	3,062	2,885	2,499	5,947	4,793
Gaming	779	720	1,122	1,499	1,769
Total Client and Gaming	3,841	3,605	3,621	7,446	6,562
Embedded Segment	977	873	824	1,850	1,647
Total net revenue	\$ 11,536	\$ 10,253	\$ 7,685	\$ 21,789	\$ 15,123
Operating Income (Loss):					
Data Center Segment	\$ 2,103	\$ 1,599	\$ (155)	\$ 3,702	\$ 777
Client and Gaming Segment	582	575	767	1,157	1,263
Embedded Segment	386	338	275	724	603
All other	(1,081)	(1,036)	(1,021)	(2,117)	(1,971)
Total operating income (loss)	\$ 1,990	\$ 1,476	\$ (134)	\$ 3,466	\$ 672
Other Data					
Capital expenditures	\$ 808	\$ 389	\$ 282	\$ 1,197	\$ 494
Adjusted EBITDA ⁽²⁾	\$ 3,315	\$ 2,746	\$ 1,086	\$ 6,061	\$ 3,040
Cash, cash equivalents and short-term investments	\$ 13,111	\$ 12,347	\$ 5,867	\$ 13,111	\$ 5,867
Free cash flow ⁽³⁾	\$ 1,558	\$ 2,566	\$ 1,180	\$ 4,124	\$ 1,907
Total assets	\$ 84,464	\$ 79,642	\$ 74,820	\$ 84,464	\$ 74,820
Total debt	\$ 3,226	\$ 3,224	\$ 3,218	\$ 3,226	\$ 3,218

See footnotes on the next page

⁽¹⁾ The Company operates as three operating segments, Data Center, Client and Gaming, and Embedded segments.

The Data Center segment primarily includes Artificial Intelligence (AI) accelerators, microprocessors (CPUs) for servers, graphics processing units (GPUs), accelerated processing units (APUs), data processing units (DPUs), AI Network Interface Cards (AI NICs), Field Programmable Gate Arrays (FPGAs) and adaptive System-on-Chip (SoC) products for data centers.

The Client and Gaming segment primarily includes CPUs, APUs, chipsets for desktops and notebooks, discrete GPUs, and semi-custom SoC products and development services.

The Embedded segment primarily includes embedded CPUs, APUs, FPGAs, System on Modules (SOMs), and adaptive SoC products.

From time to time, the Company may also sell or license portions of its IP portfolio.

All Other category primarily includes certain expenses and credits that are not allocated to any of the operating segments, such as amortization of acquisition-related intangibles, employee stock-based compensation expense, and acquisition-related and other costs.

⁽²⁾ **Reconciliation of GAAP Net Income to Adjusted EBITDA**

(Millions) (Unaudited)	Three Months Ended			Six Months Ended	
	June 27, 2026	March 28, 2026	June 28, 2025	June 27, 2026	June 28, 2025
GAAP net income	\$ 2,297	\$ 1,383	\$ 872	\$ 3,680	\$ 1,581
Interest expense	37	37	38	74	58
Other (income) expense, net	(598)	(165)	(98)	(763)	(137)
Income tax provision (benefit)	252	238	(834)	490	(711)
Equity income in investee	(6)	(6)	(8)	(12)	(15)
Stock-based compensation	503	487	369	990	733
Depreciation and amortization	221	206	189	427	364
Amortization of acquisition-related intangibles	544	551	568	1,095	1,135
Acquisition-related and other costs	40	26	94	66	136
Loss contingency on legal matters	17	-	-	17	-
Loss (income) from discontinued operations, net of tax	8	(11)	(104)	(3)	(104)
Adjusted EBITDA	\$ 3,315	\$ 2,746	\$ 1,086	\$ 6,061	\$ 3,040

The Company presents "Adjusted EBITDA" as a supplemental measure of its performance. Adjusted EBITDA for the Company is determined by adjusting GAAP net income for interest expense, other (income) expense, net, income tax provision (benefit), equity income in investee, stock-based compensation, depreciation and amortization expense, amortization of acquisition-related intangibles, acquisition-related and other costs, loss contingency on legal matter, and loss (income) from discontinued operations, net of tax. The Company calculates and presents Adjusted EBITDA because management believes it is of importance to investors and lenders in relation to its overall capital structure and its ability to borrow additional funds. In addition, the Company presents Adjusted EBITDA because it believes this measure assists investors in comparing its performance across reporting periods on a consistent basis by excluding items that the Company does not believe are indicative of its core operating performance. The Company's calculation of Adjusted EBITDA may or may not be consistent with the calculation of this measure by other companies in the same industry. Investors should not view Adjusted EBITDA as an alternative to the GAAP operating measure of net income or GAAP liquidity measures of cash flows from operating, investing and financing activities. In addition, Adjusted EBITDA does not take into account changes in certain assets and liabilities that can affect cash flows.

⁽³⁾ **Reconciliation of GAAP Net Cash Provided by Operating Activities of Continuing Operations to Free Cash Flow**

(Millions except percentages) (Unaudited)	Three Months Ended			Six Months Ended	
	June 27, 2026	March 28, 2026	June 28, 2025	June 27, 2026	June 28, 2025
GAAP net cash provided by operating activities of continuing operations	\$ 2,366	\$ 2,955	\$ 1,462	\$ 5,321	\$ 2,401
Operating cash flow margin % from continuing operations	21%	29%	19%	24%	16%
Purchases of property and equipment	(808)	(389)	(282)	(1,197)	(494)
Free cash flow	\$ 1,558	\$ 2,566	\$ 1,180	\$ 4,124	\$ 1,907
Free cash flow margin %	14%	25%	15%	19%	13%

The Company also presents free cash flow as a supplemental Non-GAAP measure of its performance. Free cash flow is determined by adjusting GAAP net cash provided by operating activities of continuing operations for capital expenditures, and free cash flow margin % is free cash flow expressed as a percentage of the Company's net revenue. The Company calculates and communicates free cash flow in the financial earnings press release because management believes it is of importance to investors to understand the nature of these cash flows. The Company's calculation of free cash flow may or may not be consistent with the calculation of this measure by other companies in the same industry. Investors should not view free cash flow as an alternative to GAAP liquidity measures of cash flows from operating activities.

The Company has provided reconciliations within the earnings press release of these Non-GAAP financial measures to the most directly comparable GAAP financial measures.

RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES

(in millions, except per share data and percentages) (Unaudited)

	Three Months Ended		
	June 27, 2026	March 28, 2026	June 28, 2025
GAAP gross profit	\$ 6,203	\$ 5,416	\$ 3,059
GAAP gross margin	54%	53%	40%
Stock-based compensation	8	8	6
Amortization of acquisition-related intangibles	260	261	260
Acquisition-related and other costs ⁽¹⁾	-	-	1
Loss contingency on legal matters	17	-	-
Non-GAAP gross profit	\$ 6,488	\$ 5,685	\$ 3,326
Non-GAAP gross margin	56%	55%	43%
GAAP operating expenses	\$ 4,213	\$ 3,940	\$ 3,193
GAAP operating expenses/revenue %	37%	38%	42%
Stock-based compensation	495	479	363
Amortization of acquisition-related intangibles	284	290	308
Acquisition-related and other costs ⁽¹⁾	40	26	93
Non-GAAP operating expenses	\$ 3,394	\$ 3,145	\$ 2,429
Non-GAAP operating expenses/revenue %	29%	31%	32%
GAAP operating income (loss)	\$ 1,990	\$ 1,476	\$ (134)
GAAP operating margin	17%	14%	(2%)
Stock-based compensation	503	487	369
Amortization of acquisition-related intangibles	544	551	568
Acquisition-related and other costs ⁽¹⁾	40	26	94
Loss contingency on legal matters	17	-	-
Non-GAAP operating income	\$ 3,094	\$ 2,540	\$ 897
Non-GAAP operating margin	27%	25%	12%

	Three Months Ended					
	June 27, 2026		March 28, 2026		June 28, 2025	
GAAP net income / earnings per share	\$ 2,297	\$ 1.38	\$ 1,383	\$ 0.84	\$ 872	\$ 0.54
Stock-based compensation	503	0.30	487	0.30	369	0.23
Amortization of acquisition-related intangibles	544	0.33	551	0.33	568	0.35
Acquisition-related and other costs ⁽¹⁾	41	0.02	27	0.02	96	0.05
Loss contingency on legal matters	17	0.01	-	-	-	-
(Gains) loss on long-term investments, net	(483)	(0.29)	(66)	(0.04)	(61)	(0.04)
Equity income in investee	(6)	-	(6)	-	(8)	-
Release of reserves for uncertain tax positions ⁽²⁾	-	-	-	-	(853)	(0.52)
Income tax provision	(161)	(0.10)	(100)	(0.07)	(98)	(0.06)
Loss (income) from discontinued operations, net of tax ⁽³⁾	8	0.01	(11)	(0.01)	(104)	(0.07)
Non-GAAP net income / earnings per share	\$ 2,760	\$ 1.66	\$ 2,265	\$ 1.37	\$ 781	\$ 0.48

⁽¹⁾ Acquisition-related and other costs primarily include transaction costs, purchase price fair value adjustments for inventory, certain compensation charges, and workforce rebalancing charges.

⁽²⁾ Release of reserves for uncertain tax positions pertains to the reasonable cause relief related to dual consolidated losses approved by the Internal Revenue Service in Q2'25.

⁽³⁾ Loss (income) from discontinued operations relates to ZT Systems' manufacturing business which was divested in Q4'25, and includes impact from measurement period adjustments in Q1'26.